

trying to pull them from other budget categories.

10%: Fun money—you can spend this on eating out, movies, comic books—whatever you want. Guilt free.

2. Fewer categories

A lot of budget software asks you to fill in a million categories and subcategories. Those can be useful if you want to track all that stuff, but I don't. I recommend simplifying: just use broad categories like food and gas and spending and utilities. Use what works.

3. Pay bills online

As much as possible, pay your bills online. These would be most of the bills in the first category above—utilities, rent or mortgage, cell phone, Internet, etc. If you can't pay electronically, have your bank send out a check to the vendor. Make these payments automatic so you don't need to worry about them.

4. Automatic savings

Make your savings automatic as well. Every time your paycheck is deposited, have a scheduled transaction transfer a set amount from

checking to savings. Use a high-yield online savings account such as EmigrantDirect or HSBC Direct.

5. Cash

For everything else, use cash. If you're doing automatic bill payments and savings deductions, the only things you'll likely need cash for are gas, groceries, and fun money. Withdraw these amounts in cash twice a month, rather than using checks or credit cards. The reason is that it's simpler—with cash, you don't need to worry about overspending, or tracking how much is left in that category. You can see how much is left. Leave the credit cards for when you absolutely need them—traveling, for example.

6. Envelopes

If you use cash for three categories, for example, use three envelopes. This is an old-fashioned system, but I use it because it works. I have an envelope for groceries, gas, and fun money. If I'm going grocery shopping, I bring the groceries envelope. I know how much is left in the envelope before I go grocery shopping. I spend the cash for groceries, and then can easily see how much is left now. Simple, and no tracking necessary. When the money